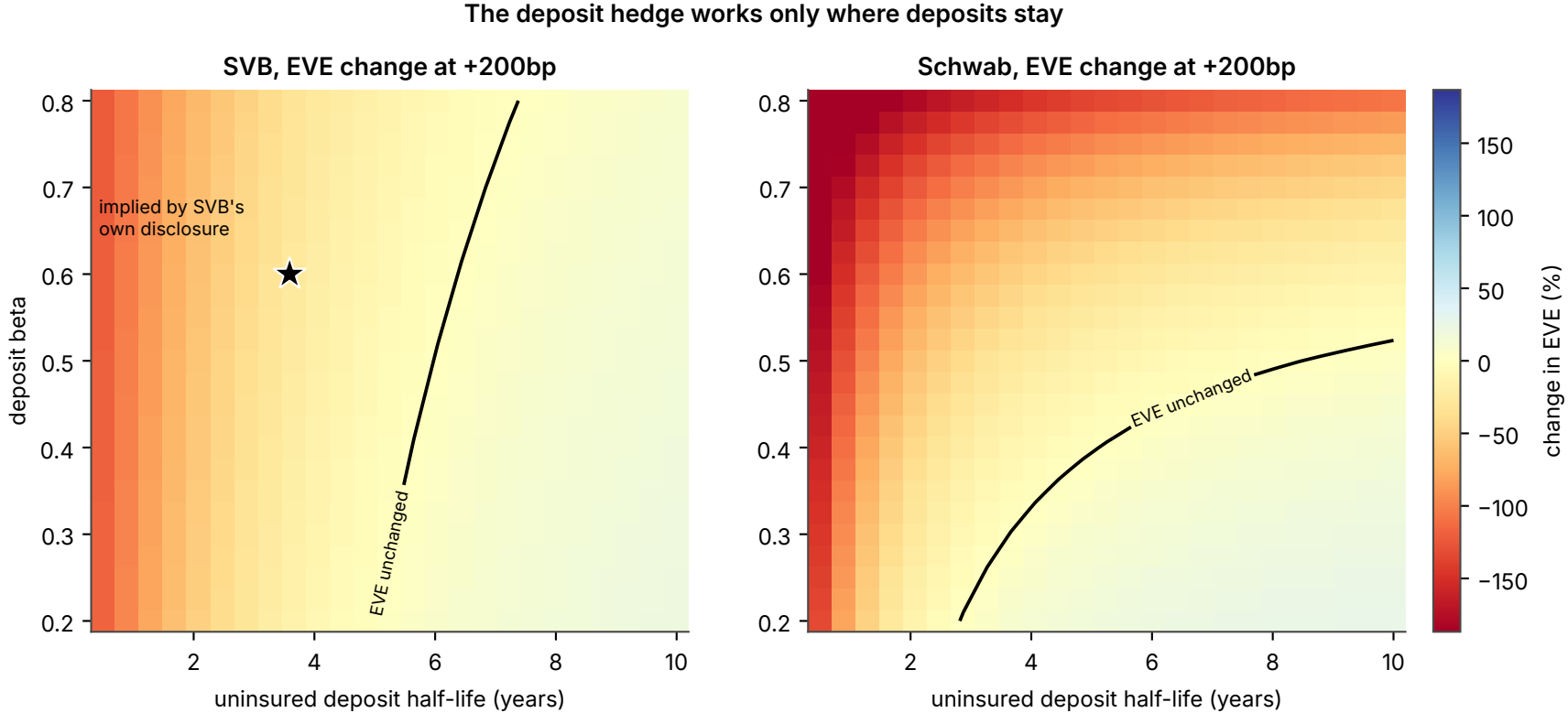
The deposit hedge works only where deposits stay
SVB, EVE change at +200bp
Schwab, EVE change at +200bp
implied by SVB's
own disclosure
EVE unchanged
EVE unchanged
deposit beta
uninsured deposit half-life (years)
uninsured deposit half-life (years)
change in EVE (%)
0.8
0.7
0.6
0.5
0.4
0.3
0.2
2
4
6
8
10
150
100
50
0
−50
−100
−150